

KENYA COMMERCIAL BANK GROUP

UN-AUDITED QUARTERLY FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 31ST MARCH 2015

I STATEMENT OF FINANCIAL POSITION		BANK			GROUP		
		31-Mar-14 Kshs 000 Un-Audited	31-Dec-14 Kshs 000 Audited	31-Mar-15 Kshs 000 Un-Audited	31-Mar-14 Kshs 000 Un-Audited	31-Dec-14 Kshs 000 Audited	31-Mar-15 Kshs 000 Un-Audited
A	ASSETS						
1	Cash (both Local & Foreign)	7,998,013	8,410,517	7,284,182	16,025,722	33,275,231	17,024,024
2	Balances due from Central Bank of Kenya	11,097,457	13,789,090	14,691,594	11,097,457	13,789,090	14,691,594
3	Kenya Government and other securities held for dealing purposes	324,891	1,115,943	2,461,971	324,891	1,115,943	2,461,971
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-
5	Investment securities: a) Held to Maturity: a. Kenya Government securities	42,573,109	36,601,868	37,026,571	42,573,109	36,601,868	37,026,571
	b. Other securities	-	-	-	19,247,326	24,467,128	25,368,129
	b) Available for sale: a. Kenya Government securities	44,276,899	34,147,777	32,406,077	44,276,899	34,147,777	32,406,077
	b. Other securities	1,991,348	865,258	885,541	1,991,348	865,258	885,541
6	Deposits and balances due from local banking institutions	-	-	-	-	745,314	-
7	Deposits and balances due from banking institutions abroad	3,978,497	2,577,662	3,266,344	19,652,813	36,827,145	60,451,463
8	Tax recoverable	679,218	137,516	-	722,274	183,283	-
9	Loans and advances to customers (net)	204,646,324	248,823,710	262,311,085	233,783,558	283,732,205	297,031,494
10	Balances due from group companies	-	-	1,448,803	-	-	-
11	Investments in associates	125	125	-	-	-	-
12	Investments in subsidiary companies	10,727,392	11,316,817	12,709,067	-	-	-
13	Investments in joint ventures	-	-	-	-	-	-
14	Investment properties	-	-	-	-	-	-
15	Property and equipment	5,380,986	5,299,673	5,563,901	8,232,932	8,838,074	8,922,027
16	Prepaid lease rentals	138,872	138,872	138,872	138,872	138,872	138,872
17	Intangible assets	1,221,526	1,234,309	1,152,838	1,306,150	1,374,215	1,287,196
18	Deferred tax asset	2,027,503	2,174,706	2,174,706	2,364,040	2,560,636	2,565,608
19	Retirement benefit asset	1,837,000	1,835,000	1,835,000	1,837,000	1,835,000	1,835,000
20	Other assets	5,982,111	8,502,430	6,757,995	7,691,085	9,841,047	8,039,376
21	TOTAL ASSETS	344,881,270	376,969,401	392,112,176	411,428,836	490,338,324	510,264,773
B	LIABILITIES						
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-
23	Customer deposits	246,590,369	276,749,766	289,076,281	313,509,755	377,271,886	397,102,268
24	Deposits and balances due to local banking institutions	3,331,693	-	127,523	3,331,693	-	127,523
25	Deposits and balances due to foreign banking institutions	6,965,579	8,733,510	6,749,683	8,362,073	14,295,619	9,320,810
26	Other money market deposits	-	-	-	-	-	-
27	Borrowed funds	9,661,091	11,610,293	11,595,487	10,279,762	12,734,848	12,724,434
28	Balances due to group companies	6,648,892	1,660,076	-	-	-	-
29	Tax payable	-	-	1,558,702	118,300	131,928	1,532,309
30	Dividends payable	-	-	-	-	-	-
31	Deferred tax liability	-	-	-	-	307	-
32	Retirement benefit liability	-	-	-	-	-	-
33	Other liabilities	6,087,035	6,048,417	7,174,940	9,050,090	10,270,179	10,049,311
34	TOTAL LIABILITIES	279,284,658	304,802,062	316,282,616	344,651,673	414,704,767	430,856,655
C	SHAREHOLDERS' FUNDS						
35	Paid up /Assigned capital	2,984,228	3,025,213	3,025,213	2,984,228	3,025,213	3,025,213
36	Share premium/(discount)	19,330,200	20,135,561	20,135,561	19,330,200	20,135,561	20,135,561
37	Revaluation reserves	10,347	(92,718)	(295,770)	410,347	(92,718)	(295,770)
38	Retained earnings/ Accumulated losses	31,591,246	37,756,878	42,042,952	31,620,678	39,963,539	44,361,953
39	Statutory loan loss reserve	3,220,136	4,005,379	4,371,255	3,220,136	5,264,936	4,844,135
40	Other Reserves/Re-measurement of defined asset/liability	2,092,000	1,286,600	1,286,600	2,092,000	1,286,600	1,286,600
41	Proposed dividends	5,968,455	6,050,426	6,050,426	5,968,455	6,050,426	6,050,426
42	Capital grants	-	-	-	-	-	-
43	TOTAL SHAREHOLDERS' FUNDS	65,596,612	72,167,339	75,829,560	66,777,163	75,633,557	79,408,118
44	Minority Interest	-	-	-	-	-	-
45	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	344,881,271	376,969,401	392,112,176	411,428,836	490,338,324	510,264,773
II STATEMENT OF COMPREHENSIVE INCOME		BANK			GROUP		
		31-Mar-14 Kshs 000 Un-Audited	31-Dec-14 Kshs 000 Audited	31-Mar-15 Kshs 000 Un-Audited	31-Mar-14 Kshs 000 Un-Audited	31-Dec-14 Kshs 000 Audited	31-Mar-15 Kshs 000 Un-Audited
1	INTEREST INCOME						
1.1	Loans and advances	7,237,122	31,927,540	8,814,517	8,253,539	36,574,907	10,050,219
1.2	Government securities	2,211,471	8,665,293	1,800,911	2,488,107	9,991,210	2,138,091
1.3	Deposits and placements with banking institutions	33,060	290,415	19,198	75,526	482,412	53,338
1.4	Other Interest Income	-	-	-	-	427,186	-
1.5	Total Interest Income	9,481,653	40,883,247	10,634,626	10,817,172	47,475,715	12,241,648
2	INTEREST EXPENSE						
2.1	Customer deposits	1,979,260	9,019,457	2,355,181	2,279,904	10,633,005	2,761,025
2.2	Deposits and placements from banking institutions	125,700	678,345	167,143	216,138	894,015	221,886
2.3	Other interest expenses	-	-	-	-	-	-
2.4	Total Interest expenses	2,104,960	9,697,802	2,522,324	2,496,042	11,527,020	2,982,911
3	NET INTEREST INCOME/(LOSS)	7,376,693	31,185,445	8,112,302	8,321,130	35,948,695	9,258,737
4	OTHER OPERATING INCOME						
4.1	Fees and commissions on loans and advances	877,200	4,259,929	1,077,488	973,467	4,635,350	1,166,746
4.2	Other fees and commissions	975,718	4,203,988	1,734,988	1,734,988	8,103,967	2,050,967
4.3	Foreign exchange trading income	501,895	2,192,337	524,330	1,113,086	4,149,902	873,579
4.4	Dividend Income	10	704,105	19	10	103	19
4.5	Other income	949,746	4,790,763	490,528	984,647	5,111,937	538,094
4.6	Total non-interest income	3,304,565	16,190,969	3,185,271	4,805,698	22,001,159	4,629,423
5	TOTAL OPERATING INCOME	10,681,258	47,376,413	11,297,573	13,126,828	57,949,854	13,886,160
6	OTHER OPERATING EXPENSES						
6.1	Loan loss provision	813,278	3,013,751	282,970	1,109,832	5,058,270	549,703
6.2	Staff costs	2,757,433	11,232,635	3,038,453	3,368,599	13,993,445	3,785,768
6.3	Directors' emoluments	30,349	132,970	24,761	68,714	296,963	87,397
6.4	Rental charges	104,401	1,093,386	262,005	1,346,574	303,792	303,792
6.5	Depreciation charge on property and equipment	314,468	1,240,498	280,518	451,951	1,885,066	450,878
6.6	Amortisation charges	108,896	432,981	103,381	124,528	502,876	122,413
6.7	Other operating expenses	1,662,111	8,506,421	1,803,830	2,166,589	11,079,231	2,354,915
6.8	Total other operating expenses	5,790,935	25,014,659	5,643,299	7,552,218	34,162,425	7,654,866
7	Profit/(loss) before tax and exceptional items	4,890,323	22,361,754	5,654,274	5,574,610	23,787,429	6,233,294
8	Exceptional items	-	-	-	-	-	-
9	Profit/(loss) after exceptional items	4,890,323	22,361,754	5,654,274	5,574,610	23,787,429	6,233,294
10	Current tax	(1,467,097)	(6,514,044)	(1,696,282)	(1,672,383)	(6,977,553)	(1,869,988)
11	Deferred tax	-	31,267	-	-	38,986	-
12	Profit/(loss) after tax and exceptional items	3,423,226	15,878,977	3,957,992	3,902,227	16,848,863	4,363,306
13	Minority Interest	-	-	-	-	-	-
14	Profit/(loss) after tax and exceptional items and Minority Interest	3,423,226	15,878,977	3,957,992	3,902,227	16,848,863	4,363,306
15	Other Comprehensive Income:						
15.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	(480,031)	904,406	(292,975)
15.2	Fair value changes in available-for-sale financial assets	573,743	70,678	388,488	573,743	70,678	388,488
15.3	Re-measurement of defined benefit pension fund	-	(177,800)	-	-	(177,800)	-
15.4	Share of other comprehensive income of associates	-	-	-	-	-	-
15.5	Income tax relating to components of other comprehensive income	-	-	-	-	-	-
16	Other comprehensive income for the year net of tax	573,743	(107,122)	388,488	93,712	797,284	95,513
17	Total comprehensive income for the year	3,996,969	15,771,855	4,346,480	3,995,939	17,646,147	4,458,819
18	EARNINGS PER SHARE- DILUTED & BASIC KSHS	4.59	5.30	5.23	5.23	5.63	5.77
19	DIVIDEND PER SHARE - DECLARED KSHS	-	2.00	-	-	2.00	-
III OTHER DISCLOSURES		BANK			GROUP		
		31-Mar-14 Kshs 000 Un-Audited	31-Dec-14 Kshs 000 Audited	31-Mar-15 Kshs 000 Un-Audited	31-Mar-14 Kshs 000 Un-Audited	31-Dec-14 Kshs 000 Audited	31-Mar-15 Kshs 000 Un-Audited
1	NON-PERFORMING LOANS AND ADVANCES						
a)	Gross Non-performing loans and advances	17,894,586	13,367,944	17,384,023	22,456,545	18,404,132	21,880,196
b)	Less Interest in Suspense	1,781,062	1,809,962	1,781,062	2,283,981	2,588,273	3,351,771
c)	Total Non-Performing Loans and Advances (a-b)	16,113,522	11,557,982	14,812,016	20,172,664	15,815,858	18,528,419
d)	Less Loan Loss Provision	6,416,302	6,764,855	6,820,479	7,646,012	9,402,308	9,108,129
e)	Net Non-Performing Loans and Advances(c-d)	9,697,220	4,793,127	7,991,537	12,526,652	6,413,551	9,420,290
f)	Discounted Value of Securities	7,380,931	4,793,127	7,991,537	10,847,577	6,413,551	9,420,290
g)	Net NPLs Exposure (e-f)	2,316,289	-	-	1,679,075	-	-
2	INSIDER LOANS AND ADVANCES						
a)	Directors, Shareholders and Associates	-	375,380	177,884	1,092,812	648,670	552,025
b)	Employees	8,084,712	8,912,786	8,973,654	8,795,768	9,795,649	9,900,418
c)	Total Insider Loans and Advances and other facilities	8,084,712	9,288,166	9,151,538	9,888,581	10,444,319	10,452,443
3	OFF-BALANCE SHEET ITEMS						
a)	Letters of credit, guarantees, acceptances	114,314,921	69,223,656	64,451,811	118,579,893	72,326,419	68,461,144
b)	Forwards, swaps and options	52,795,995	35,375,754	26,010,480	53,167,058	36,498,020	26,327,615
c)	Other contingent liabilities	-	-	-	-	-	-
d)	Total Contingent Liabilities	167,110,916	104,599,410	90,462,291	171,746,951	108,824,439	94,788,759
4	CAPITAL STRENGTH						
a)	Core capital	51,590,372	57,805,191	60,569,495	-	-	-
b)	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	-	-	-
c)	Excess (a-b)	50,590,372	56,805,191	59,569,495	-	-	-
d)	Supplementary Capital	10,289,227	1,805,962	3,584,572	-	-	-
e)	Total Capital (a+d)	61,879,599	71,210,388	64,154,072	-	-	-
f)	Total risk weighted assets	286,801,171	338,877,072	354,334,716	-	-	-
g)	Core Capital/Total deposits Liabilities	20.9%	20.9%	21.0%	-	-	-
h)	Minimum statutory Ratio	8.0%	8.0%	8.0%	-	-	-
i)	Excess	12.9%	12.9%	13.0%	-	-	-
j)	Core Capital / total risk weighted assets	18.0%	17.1%	17.1%	-	-	-
k)	Minimum Statutory Ratio	10.5%	10.5%	10.5%	-	-	-
l)	Excess (j-k)	7.5%	6.6%	6.6%	-	-	-
m)	Total Capital/total risk weighted assets	21.6%	21.0%	18.1%	-	-	-
n)	Minimum statutory Ratio	14.5%	14.5%	14.5%	-	-	-
o)	Excess (m-n)	7.1%	6.5%	3.6%	-	-	-
5	LIQUIDITY						
a)	Liquidity Ratio	38.0%	31.3%	31.4%	-	-	-
b)	Minimum Statutory Ratio	20.0%	20.0%	20.0%	-	-	-
c)	Excess (a-b)	18.0%	11.3%	11.4%	-	-	-



INTERIM DIVIDEND

The Directors do not recommend payment of interim dividend.

MESSAGE FROM THE DIRECTORS